MID-YEAR PERFORMANCE GUARANTEE · AUDIT WORKSHEET

Five Guarantees You Should Audit at Mid-Year. *Year-End Notification Comes Too Late.*

Three audit passes. Mid-year notification. Year-end remediation.

This handout decodes the five mid-year performance guarantee terms: GER, BER, dispensing fee, rebate per claim minimum, and performance-remediation language. Mid-year is when remediation conversations work; year-end is when remediation conversations end. The PBM is operating on calendar Q3-Q4 already; the plan sponsor that audits in July has the leverage that the plan sponsor who audits in December does not.

01 Pull each guarantee's actual mid-year performance

Open your contract. List every named performance guarantee with its threshold (GER, BER, dispensing fee maximum, rebate-per-claim minimum, etc.).

Open your H1 / mid-year claims data. Calculate actual mid-year performance using the formula the contract specifies.

02 Classify gaps by remediation type

For each guarantee where actual is below threshold, find the remediation clause. Classify: cash true-up at year-end, credit against next-year admin fees, "PBM shall remediate" undefined, or no remediation specified at all.

Unguarded guarantees are where the PBM keeps the difference at year-end without consequence.

03 Send the gap notification mid-year, not at year-end

For each gap with named remediation, send written notification citing guarantee, actual performance, gap, remediation clause. Mid-year notification establishes the audit on the calendar before the PBM optimizes Q3-Q4 to bury the gap.

04 The Pattern PBS Sees Most Often

> **Across approximately 100 PBM contract reviews and audits annually at PBS:** most contracts name guarantees but specify remediation only for some of them. The unguarded guarantees are where the PBM keeps the difference at year-end without consequence. The remediation classification is the audit's most important output.

05 Paste-Ready: Send to Your Broker or PBM

MID-YEAR GUARANTEE LEDGER

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Guarantee                              Threshold    Actual H1    Gap     Remediation
  1. Generic Effective Rate (GER) ......  ____%        ____%        ____%   _________
  2. Brand Effective Rate (BER) ........  ____%        ____%        ____%   _________
  3. Dispensing Fee (max) .............  $____        $____        $____   _________
  4. Rebate per Brand Claim (min) ......  $____        $____        $____   _________
  5. Performance Remediation language? .  Y / N (describe): _________________

Remediation codes:
  CT = cash true-up · CR = credit · TBD = undefined · NONE = no language

Mid-year notification sent (date / guarantee / response):
  ___________________________________________
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06 This Quarter's Action Plan

STEP 1 · THIS WEEK

Pull every named guarantee and threshold

Use the ledger above. Document threshold for each.

STEP 2 · WEEK 2

Calculate actual mid-year performance

Methodology must match contract for the comparison to count.

STEP 3 · WEEK 3

Classify gaps by remediation type and send mid-year notification

Mid-year beats year-end.

STEP 4 · AT RENEWAL

Negotiate remediation language for unguarded guarantees

Cash true-up beats undefined every time.